

Multiple Choice

1. **Answer:** A

Options: A) Near-monies are physical currencies; B) Near-monies are long-term investment bonds; C) Near-monies are commodities used for barter; D) Near-monies are precious metals such as gold and silver; E) Near-monies are ownership stakes in real estate

Note: Correct option: A - Near-monies are physical currencies

2. **Answer:** A

Options: A) decrease by \$200 million.; B) decrease by \$100 million.; C) increase by \$200 million.; D) decrease by \$10 million.; E) increase by \$500 million.

Note: Correct option: A - decrease by \$200 million.

3. **Answer:** C

Options: A) As the demand for bonds increases the interest rate increases.; B) For a given money supply if nominal GDP increases the velocity of money decreases.; C) When demand for stocks and bonds increases the asset demand for money falls.; D) A macroeconomic recession increases the demand for loanable funds.

Note: Correct option: C - When demand for stocks and bonds increases the asset demand for money falls.

4. **Answer:** A

Options: A) more price stability.; B) more choices of products for consumers.; C) lower prices.; D) more efficiency.; E) less market control.

Note: Correct option: A - more price stability.

5. **Answer:** D

Options: A) The elasticity of the long-run aggregate supply curve; B) The spending (or expenditure) multiplier; C) The investment multiplier; D) The balanced budget multiplier; E) The aggregate demand multiplier

Note: Correct option: D - The balanced budget multiplier

True / False

6. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'Rule of 72 is a formula for calculating compound interest'.

7. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

8. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: '\$1,550,000'.

9. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

10. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'this will increase the demand for the product.'.

Long Form Response

11. **Answer:** A higher rate of inflation relative to other nations.. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.

Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

12. **Answer:** Increasing costs limit the degree of specialization. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.

Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

End of Answer Key